TEACHER GUIDE

OCR GCSE (9-1) in Business (J204)

# Sources of finance

5. Finance
**5.2 Sources of finance**



A revision lesson. Pupils run a car dealership in firms of four and revise sources of finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Total to pay back

Round 1

Same interest every year.

**Total to pay back?**

| | |
|---|---|
| Loan | **£50,000** |
| Interest, each year | **3%** |
| Repaid over | **4 years** |

**ANSWER**

**£56,000**

£50,000 + 4 × £1,500 = £56,000

**Why:** The loan costs £6,000 in interest.

## 2 Short-term sources

Round 1

You need £8,000 for three weeks to cover a gap.

**Which two sources fit best?**

**A** Trade credit from a supplier
**B** Selling shares
**C** A bank overdraft
**D** A mortgage
**E** A five-year bank loan

**ANSWER**

**✓ Trade credit from a supplier**
**✓ A bank overdraft**

**Why:** Short-term needs suit short-term finance.

## 3 Rank total interest

Round 2

Three ways to borrow £10,000, simple interest.

**Order by total interest, cheapest first?**

**A** Overdraft: 15% a year, 6 months
**B** Card: 24% a year for 3 months
**C** Loan: 8% a year for 2 years

**ANSWER**

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

**Why:** Interest: £600, £750, £1,600.

# Topic tasks

## 4 Loan or overdraft

Round 2

Loan or overdraft?

**Extra cost of the overdraft?**

| | |
|---|---|
| Money needed | **£20,000** |
| Loan interest, for the year | **4%** |
| Overdraft charge, a month | **£200** |
| You need it for | **7 months** |

**ANSWER**

**£600**

7 × £200 − £800 = £600

**Why:** The overdraft costs £600 more here.

## 5 Loan or own profit

Round 3

You want a £30,000 workshop ramp. You have £40,000 of profit kept in the firm, not needed elsewhere.

**How should you pay, and why?**

**A** Use the profit kept in the firm

**B** Take a loan at 9%

**ANSWER**

**✔ Use the profit kept in the firm**

**Why:** Retained profit costs no interest and need not be repaid.

## 6 Cheaper loan cost

Round 3

Borrow £25,000.

**Total cost of the cheaper loan, with fees?**

| | |
|---|---|
| Bank interest, each year | **7%** |
| Bank fee, one-off | **£400** |
| Credit firm, interest a year | **9%** |
| Repaid over | **4 years** |

**ANSWER**

**£7,400**

Bank £7,400; credit firm £9,000; cheaper £7,400

**Why:** The bank is cheaper, even with the fee counted.

# Final questions

Each pupil answers 6 final questions on sources of finance. They come from these 8 questions.

Then each pupil writes one short answer: “Explain why a new dealer may struggle to borrow.”

1 A normally healthy dealer has a short, forecast cash gap before customers pay. Which source may be most suitable?

✔ **An overdraft with a limit covering the temporary gap**

2 A dealership wants to finance a workshop extension expected to last many years. Why might a long-term loan be suitable?

✔ **Repayments can be spread over the asset’s life**

3 A profitable private company uses accumulated profit to buy diagnostic equipment. What source of finance is this?

✔ **Retained profit**

4 A dealer uses last year’s profit to buy a new ramp. Which source of finance is this?

✔ **Retained profit**

5 A dealer needs £5,000 for two weeks until customers pay. Which source of finance fits best?

✔ **A bank overdraft**

6 A parts supplier lets a dealer pay 30 days after delivery. Which source of finance is this?

✔ **Trade credit**

7 Why might a dealer prefer a bank loan to an overdraft for a £40,000 workshop extension?

✔ **Repayments are fixed and spread over years**

8 A private limited company dealer sells more shares to raise £100,000. What is a drawback?

✔ **The owners give up some control**